



Cambridge Assessment International Education
Cambridge International General Certificate of Secondary Education

ACCOUNTING

0452/12

Paper 12

March 2018

MARK SCHEME

Maximum Mark: 120

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks. It does not indicate the details of the discussions that took place at an Examiners' meeting before marking began, which would have considered the acceptability of alternative answers.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

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This document consists of **13** printed pages.

PUBLISHED**Generic Marking Principles**

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptors for a question. Each question paper and mark scheme will also comply with these marking principles.

GENERIC MARKING PRINCIPLE 1:

Marks must be awarded in line with:

- the specific content of the mark scheme or the generic level descriptors for the question
- the specific skills defined in the mark scheme or in the generic level descriptors for the question
- the standard of response required by a candidate as exemplified by the standardisation scripts.

GENERIC MARKING PRINCIPLE 2:

Marks awarded are always **whole marks** (not half marks, or other fractions).

GENERIC MARKING PRINCIPLE 3:

Marks must be awarded **positively**:

- marks are awarded for correct/valid answers, as defined in the mark scheme. However, credit is given for valid answers which go beyond the scope of the syllabus and mark scheme, referring to your Team Leader as appropriate
- marks are awarded when candidates clearly demonstrate what they know and can do
- marks are not deducted for errors
- marks are not deducted for omissions
- answers should only be judged on the quality of spelling, punctuation and grammar when these features are specifically assessed by the question as indicated by the mark scheme. The meaning, however, should be unambiguous.

GENERIC MARKING PRINCIPLE 4:

Rules must be applied consistently e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

GENERIC MARKING PRINCIPLE 5:

Marks should be awarded using the full range of marks defined in the mark scheme for the question (however; the use of the full mark range may be limited according to the quality of the candidate responses seen).

GENERIC MARKING PRINCIPLE 6:

Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

Question	Answer	Marks
1(a)	B	1
1(b)	A	1
1(c)	D	1
1(d)	A	1
1(e)	C	1
1(f)	C	1
1(g)	A	1
1(h)	D	1
1(i)	B	1
1(j)	D	1

Question	Answer		Marks												
2(a)		<table><tr><td>document</td><td>name of person issuing document</td></tr><tr><td>invoice</td><td><i>Kumar</i></td></tr><tr><td>debit note</td><td>Simran (1)</td></tr><tr><td>credit note</td><td>Kumar (1)</td></tr><tr><td>Statement of account</td><td>Kumar (1)</td></tr><tr><td>cheque</td><td>Simran (1)</td></tr></table>	document	name of person issuing document	invoice	<i>Kumar</i>	debit note	Simran (1)	credit note	Kumar (1)	Statement of account	Kumar (1)	cheque	Simran (1)	4
	document	name of person issuing document													
	invoice	<i>Kumar</i>													
	debit note	Simran (1)													
	credit note	Kumar (1)													
	Statement of account	Kumar (1)													
cheque	Simran (1)														
2(b)	Issued by the customer to request a reduction in an invoice.		1												
2(c)	Sales returns journal		1												

Question	Answer	Marks												
2(d)	Sales ledger	1												
2(e)	Trade discount	1												
2(f)	Recorded on the invoice to the customer or in sales journal No entry made in ledger	1												
2(g)(i)	Sales returns account	1												
2(g)(ii)	Individual debtor accounts	1												
2(h)	Money measurement (1)	1												
	An accounting transaction should only be recorded if it can be expressed in terms of money (1)	1												
2(i)	Capital (1) equals assets minus liabilities (1)	2												
2(j)	<table border="1"> <thead> <tr> <th>item</th><th>increase</th><th>decrease</th></tr> </thead> <tbody> <tr> <td>capital introduced</td><td>✓</td><td></td></tr> <tr> <td>drawings</td><td></td><td>✓ (1)</td></tr> <tr> <td>profit for the year</td><td>✓ (1)</td><td></td></tr> </tbody> </table>	item	increase	decrease	capital introduced	✓		drawings		✓ (1)	profit for the year	✓ (1)		2
item	increase	decrease												
capital introduced	✓													
drawings		✓ (1)												
profit for the year	✓ (1)													

Question	Answer	Marks																																																												
3(a)	Nikita Electricity expense account <table><tr><th>Date</th><th>Details</th><th>\$</th><th>Date</th><th>Details</th><th>\$</th></tr><tr><td>2017</td><td></td><td></td><td>2017</td><td></td><td></td></tr><tr><td>Mar 10</td><td>Bank } (1)</td><td>210</td><td>Feb 1</td><td>Balance b/d</td><td>140</td></tr><tr><td>Jun 7</td><td>Bank } (1)</td><td>130</td><td>2018</td><td></td><td></td></tr><tr><td>Sep 5</td><td>Bank } (1)</td><td>185</td><td>Jan 31</td><td>Income Statement (1) OF</td><td>810</td></tr><tr><td>Dec 6</td><td>Bank } (1)</td><td>205</td><td></td><td></td><td></td></tr><tr><td>2018</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Jan 31</td><td>Balance c/d (1)</td><td>220</td><td></td><td></td><td></td></tr><tr><td></td><td></td><td>950</td><td></td><td></td><td>950</td></tr><tr><td></td><td></td><td></td><td>Feb 1</td><td>Balance b/d (1) OF</td><td>220</td></tr></table> (+1 dates)	Date	Details	\$	Date	Details	\$	2017			2017			Mar 10	Bank } (1)	210	Feb 1	Balance b/d	140	Jun 7	Bank } (1)	130	2018			Sep 5	Bank } (1)	185	Jan 31	Income Statement (1) OF	810	Dec 6	Bank } (1)	205				2018						Jan 31	Balance c/d (1)	220						950			950				Feb 1	Balance b/d (1) OF	220	6
Date	Details	\$	Date	Details	\$																																																									
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Jan 31	Balance c/d (1)	220																																																												
		950			950																																																									
			Feb 1	Balance b/d (1) OF	220																																																									
3(b)	The amount owed/not yet paid for electricity used in the financial year ended 31 January 2018 (1) OF	1																																																												
3(c)	Current liabilities (1) OF	1																																																												
3(d)	Nikita Rent receivable account <table><tr><th>Date</th><th>Details</th><th>\$</th><th>Date</th><th>Details</th><th>\$</th></tr><tr><td>2017</td><td></td><td></td><td>2017</td><td></td><td></td></tr><tr><td>Feb 1</td><td>Balance b/d (1)</td><td>1250</td><td>May 10</td><td>Cash (1)</td><td>2700</td></tr><tr><td>2018</td><td></td><td></td><td>Oct 14</td><td>Bank (1)</td><td>2800</td></tr><tr><td>Jan 31</td><td>Income Statement (1) OF</td><td>5950</td><td>2018</td><td></td><td></td></tr><tr><td></td><td></td><td>7200</td><td>Jan 31</td><td>Balance c/d</td><td>1700</td></tr><tr><td></td><td></td><td></td><td></td><td></td><td>7200</td></tr><tr><td>Feb 1</td><td>Balance b/d (1)</td><td>1700</td><td></td><td></td><td></td></tr></table> (+1 dates)	Date	Details	\$	Date	Details	\$	2017			2017			Feb 1	Balance b/d (1)	1250	May 10	Cash (1)	2700	2018			Oct 14	Bank (1)	2800	Jan 31	Income Statement (1) OF	5950	2018					7200	Jan 31	Balance c/d	1700						7200	Feb 1	Balance b/d (1)	1700				6												
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					7200																																																									
Feb 1	Balance b/d (1)	1700																																																												
3(e)	Current assets	1																																																												

Question	Answer	Marks
3(f)	<	

Question	Answer	Marks
3(i)	different accounting policies different size of business different type of business different locations different capital structures different type of goods sold non-monetary items other reasonable answer Any two for (1) mark each	Max 2
3(j)	Introduce additional capital Sell surplus non-current assets Reduce cash drawings Obtain long-term loan 1 mark per suggestion, maximum 2	Max 2

Question	Answer						Marks
4(a)	Meena Cash book (bank columns)						5
	Date	Details	\$	Date	Details	\$	
	2017 Dec 31	Rohan (1)	140	2017 Dec 31	Balance b/d (1)	2450	
		Balance c/d	2424		Bank interest (1)	20	
					Anjana (dishonoured cheque) (1)	94	
			2564	2018		2564	
				Jan 1	Balance b/d (1) OF	2424	

Question	Answer	Marks																																			
4(b)	Meena Bank Reconciliation Statement at 31 December 2017 <table><tr><td></td><td>\$</td><td>\$</td><td></td></tr><tr><td>Debit balance on bank statement *</td><td></td><td>(2623)</td><td>(1)</td></tr><tr><td>Add:</td><td></td><td></td><td></td></tr><tr><td> amounts not yet credited: Cash sales</td><td>362</td><td></td><td>(1)</td></tr><tr><td> Bank error</td><td><u>35</u></td><td></td><td>(1)</td></tr><tr><td></td><td></td><td>397</td><td></td></tr><tr><td>Less: cheques not yet presented</td><td></td><td><u>(198)</u></td><td>(1)</td></tr><tr><td>Adjusted cash book balance * (1) both labels</td><td></td><td><u>(2424)</u></td><td>(1) OF</td></tr></table>		\$	\$		Debit balance on bank statement *		(2623)	(1)	Add:				amounts not yet credited: Cash sales	362		(1)	Bank error	<u>35</u>		(1)			397		Less: cheques not yet presented		<u>(198)</u>	(1)	Adjusted cash book balance * (1) both labels		<u>(2424)</u>	(1) OF	6			
		\$	\$																																		
Debit balance on bank statement *		(2623)	(1)																																		
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Alternative presentation <table><tr><td></td><td>\$</td><td>\$</td><td></td></tr><tr><td>Adjusted cash book balance *</td><td></td><td>(2424)</td><td>(1) OF</td></tr><tr><td>Add:</td><td></td><td></td><td></td></tr><tr><td> amounts not yet credited: Cash sales</td><td>362</td><td></td><td>(1)</td></tr><tr><td> Bank error</td><td><u>35</u></td><td></td><td>(1)</td></tr><tr><td></td><td></td><td>397</td><td></td></tr><tr><td>Less: cheques not yet presented</td><td></td><td><u>(198)</u></td><td>(1)</td></tr><tr><td>Debit balance on bank statement *</td><td></td><td><u>(2623)</u></td><td>(1)</td></tr><tr><td>(* 1 mark both labels)</td><td></td><td></td><td></td></tr></table>		\$	\$		Adjusted cash book balance *		(2424)	(1) OF	Add:				amounts not yet credited: Cash sales	362		(1)	Bank error	<u>35</u>		(1)			397		Less: cheques not yet presented		<u>(198)</u>	(1)	Debit balance on bank statement *		<u>(2623)</u>	(1)	(* 1 mark both labels)				
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(* 1 mark both labels)																																					
4(c)	\$2424 (1) OF Current liabilities (1) OF	2																																			

Question	Answer	Marks								
4(d)	A cheque which has been returned unpaid by the bank	1								
	Reason Drawer has insufficient funds in the account Incomplete details on the cheque (e.g. missing date, signature) Cheque is out of date/stale Cheque may be post-dated Inconsistent details on the cheque (e.g. signature does not match that on file, amount in figures does not agree with amount in words) (1 mark for meaning, 1 mark for any valid reason up to 2 max)	2								
4(e)	At any time the amount paid out from the float (represented by vouchers/receipts) plus remaining cash (1) must equal the fixed amount of the float (1)	2								
4(f)	<table><tr><td>debit entry</td><td>\$</td><td>credit entry</td><td>\$</td></tr><tr><td>petty cash (1)</td><td>27</td><td>bank/cash (1)</td><td>27</td></tr></table> + 1 for amount	debit entry	\$	credit entry	\$	petty cash (1)	27	bank/cash (1)	27	3
debit entry	\$	credit entry	\$							
petty cash (1)	27	bank/cash (1)	27							

Question	Answer	Marks
5(a)	To keep a separate record of capital introduced/be able to calculate interest on capital	1
	To allow easy comparison of drawings and total profit share/see if partner has overdrawn on profit allocation.	1
5(b)	The amount that Sumit owes the partnership.	1
5(c)	To discourage partners from taking drawings/to reduce the level of drawings	1

Question	Answer	Marks																																																																																																		
5(d)	Eli and Sumit Appropriation Account for the year ended 31 October 2017 <table><tr><td></td><td></td><td>\$</td><td></td><td>\$</td></tr><tr><td>Profit for the year</td><td></td><td></td><td></td><td>12 500</td></tr><tr><td>Add: interest on drawings</td><td>Eli</td><td>200</td><td>(1)</td><td></td></tr><tr><td></td><td>Sumit</td><td>260</td><td>(1)</td><td>460</td></tr><tr><td></td><td></td><td></td><td></td><td> 12 960</td></tr><tr><td>Less: interest on capital</td><td>Eli</td><td>4 000</td><td>(1)</td><td></td></tr><tr><td></td><td>Sumit</td><td>3 400</td><td>(1)</td><td></td></tr><tr><td></td><td></td><td> 7 400</td><td></td><td></td></tr><tr><td>Less: salary</td><td>Eli</td><td>7 500</td><td>(1)</td><td>(14 900)</td></tr><tr><td></td><td></td><td></td><td></td><td> (1 940)</td></tr><tr><td>Share of residual loss</td><td>Eli</td><td>1 164</td><td>(1) OF</td><td></td></tr><tr><td></td><td>Sumit</td><td>776</td><td>(1) OF</td><td>(1 940)</td></tr><tr><td></td><td></td><td></td><td></td><td> (1 940)</td></tr></table>			\$		\$	Profit for the year				12 500	Add: interest on drawings	Eli	200	(1)			Sumit	260	(1)	460					12 960	Less: interest on capital	Eli	4 000	(1)			Sumit	3 400	(1)				7 400			Less: salary	Eli	7 500	(1)	(14 900)					(1 940)	Share of residual loss	Eli	1 164	(1) OF			Sumit	776	(1) OF	(1 940)					(1 940)	7																																	
		\$		\$																																																																																																
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	Sumit	776	(1) OF	(1 940)																																																																																																
				(1 940)																																																																																																
5(e)	Eli and Sumit Extract from Statement of Financial Position at 31 October 2017 <table><tr><td></td><td></td><td>\$</td><td></td><td>\$</td><td></td><td>\$</td></tr><tr><td></td><td></td><td>Eli</td><td>Sumit</td><td></td><td>Total</td><td></td></tr><tr><td>Capital accounts</td><td></td><td>50 000</td><td>45 000</td><td>(1)</td><td>95 000</td><td>(1) OF</td></tr><tr><td>Current accounts</td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Opening balance</td><td></td><td>4 500</td><td>(1 800)</td><td>(1)</td><td></td><td></td></tr><tr><td>Interest on capital</td><td></td><td>4 000</td><td>3 400</td><td>(1) OF</td><td></td><td></td></tr><tr><td>Salary</td><td></td><td>7 500</td><td>–</td><td>(1)</td><td></td><td></td></tr><tr><td></td><td></td><td> 16 000</td><td> 1 600</td><td></td><td></td><td></td></tr><tr><td>Drawings</td><td></td><td>(5 000)</td><td>(6 500)</td><td>(1)</td><td></td><td></td></tr><tr><td>Interest on drawings</td><td></td><td>(200)</td><td>(260)</td><td>(1) OF</td><td></td><td></td></tr><tr><td>Share of residual loss</td><td></td><td>(1 164)</td><td>(776)</td><td>(1) OF</td><td></td><td></td></tr><tr><td></td><td></td><td> (6 364)</td><td> (7 536)</td><td></td><td></td><td></td></tr><tr><td></td><td></td><td>9 636</td><td>(5 936)</td><td></td><td>3 700</td><td>(1) OF</td></tr><tr><td></td><td></td><td></td><td></td><td></td><td> 98 700</td><td> (1) OF</td></tr></table>			\$		\$		\$			Eli	Sumit		Total		Capital accounts		50 000	45 000	(1)	95 000	(1) OF	Current accounts							Opening balance		4 500	(1 800)	(1)			Interest on capital		4 000	3 400	(1) OF			Salary		7 500	–	(1)					16 000	1 600				Drawings		(5 000)	(6 500)	(1)			Interest on drawings		(200)	(260)	(1) OF			Share of residual loss		(1 164)	(776)	(1) OF					(6 364)	(7 536)						9 636	(5 936)		3 700	(1) OF						98 700	(1) OF	10
		\$		\$		\$																																																																																														
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					98 700	(1) OF																																																																																														

Question	Answer	Marks																														
6(a)	Useful as a basis for preparing financial statements	1																														
	Check arithmetical accuracy of the double entry	1																														
6(b)	Error 3 commission	1																														
	Error 4 omission	1																														
	Error 5 principle	1																														
6(c)	Sanjay Suspense account <table><tr><th>Date 2018</th><th>Details</th><th>\$</th><th>Date 2018</th><th>Details</th><th>\$</th></tr><tr><td>Jan 31</td><td>Rent receivable</td><td>(1) 1000</td><td>Jan 31</td><td>Difference in trial</td><td></td></tr><tr><td></td><td>Purchases returns</td><td>(1) 190</td><td></td><td>balance</td><td>(1) 1110</td></tr><tr><td></td><td>Sales returns</td><td>(1) 190</td><td></td><td>Wages</td><td>(1) 270</td></tr><tr><td></td><td></td><td>1380</td><td></td><td></td><td>1380</td></tr></table> +1 if no extraneous items	Date 2018	Details	\$	Date 2018	Details	\$	Jan 31	Rent receivable	(1) 1000	Jan 31	Difference in trial			Purchases returns	(1) 190		balance	(1) 1110		Sales returns	(1) 190		Wages	(1) 270			1380			1380	6
Date 2018	Details	\$	Date 2018	Details	\$																											
Jan 31	Rent receivable	(1) 1000	Jan 31	Difference in trial																												
	Purchases returns	(1) 190		balance	(1) 1110																											
	Sales returns	(1) 190		Wages	(1) 270																											
		1380			1380																											
6(d)	Yes/no (1) OF Errors affecting the trial balance have all been discovered as the suspense account has been cleared (1) OF	2																														

Question	Answer	Marks																																																							
6(e)	Statement of corrected profit for the year ended 31 January 2018 <table><tr><th></th><th>No Effect</th><th>Increase \$</th><th>Decrease \$</th><th>\$</th></tr><tr><td>Draft profit</td><td></td><td></td><td></td><td>24 250</td></tr><tr><td>Error 1</td><td></td><td></td><td>270 (1)</td><td></td></tr><tr><td>Error 2</td><td></td><td>1000 (1)</td><td></td><td></td></tr><tr><td>Error 3</td><td>✓ (1)</td><td></td><td></td><td></td></tr><tr><td>Error 4</td><td></td><td></td><td>35 (1)</td><td></td></tr><tr><td>Error 5</td><td></td><td></td><td>700 (1)</td><td></td></tr><tr><td>Error 6</td><td></td><td>*380 (2)</td><td></td><td></td></tr><tr><td></td><td></td><td>1380</td><td>1005</td><td>375</td></tr><tr><td>Corrected profit</td><td></td><td></td><td></td><td>24 625</td></tr><tr><td>*(1)correct position (1) correct figure</td><td></td><td></td><td></td><td>(1) OF</td></tr></table>		No Effect	Increase \$	Decrease \$	\$	Draft profit				24 250	Error 1			270 (1)		Error 2		1000 (1)			Error 3	✓ (1)				Error 4			35 (1)		Error 5			700 (1)		Error 6		*380 (2)					1380	1005	375	Corrected profit				24 625	*(1)correct position (1) correct figure				(1) OF	8
	No Effect	Increase \$	Decrease \$	\$																																																					
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Error 4			35 (1)																																																						
Error 5			700 (1)																																																						
Error 6		*380 (2)																																																							
		1380	1005	375																																																					
Corrected profit				24 625																																																					
*(1)correct position (1) correct figure				(1) OF																																																					